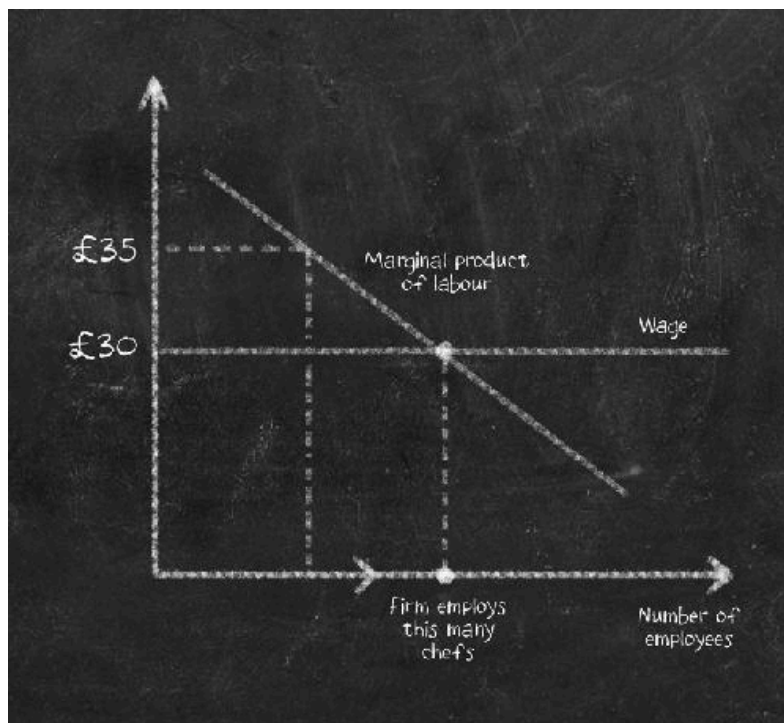


Demand for labour



Like the price of toffees, wages are determined by supply and demand. Firms demand labour, but this demand is a bit different to that for toffees because labour is not a final 'good' for consumption, it is an input to production. A restaurant employs chefs to produce meals that it sells for profit. The number of chefs employed is linked to the profitability of the meals. Each extra chef makes more meals, adding some amount to the restaurant's profits – the marginal product of labour.

But the marginal product falls as the number of chefs rises: when there are many, an extra one doesn't make as much of a difference as when there are a few. So how many chefs should the restaurant employ? If the wage is £30 and the marginal product £35, then it is still profitable to take on an extra chef. The restaurant maximizes its profits when the marginal product *equals* the wage rate. If the marginal product rises, the

restaurant will demand more chefs: this may happen if meal prices increase or through some technological improvements.